

Activity 3: Prepare a Commercial Lease Renewal

Course TGS-2023020567 · K1 · K2 · A1 · A3

Objective

Use market evidence and objective criteria to prepare a multi-issue lease negotiation.

Real-world use-case basis

Real-world use case: commercial leases are negotiated across base rent, service charges, incentives, duration, use, fit-out and break rights. This is a realistic composite.

Scenario

Orchid Activewear's five-year lease is ending. The store is profitable, but footfall is uneven and online sales have grown. The landlord seeks a higher base rent and a new three-year lock-in. Orchid values continuity but needs refurbishment support and a break option if sales fall materially.

Primary source

<https://www.esade.edu/beyond/en/negotiation-techniques/>

Training assumptions

- Current base rent is SGD 18,000 monthly; the landlord opens at SGD 20,500.
- Three comparable units range from SGD 18,700 to SGD 19,600 after incentives.
- A relocation would cost SGD 180,000 and close the store for six weeks.
- A landlord fit-out contribution of SGD 60,000 is worth more to Orchid than a short rent-free period.

Questions

1. Which comparables are genuinely relevant, and what adjustments are required?
2. What is the total value of rent, incentive, duration and break rights?
3. Which three packages are equivalent to Orchid but differently attractive to the landlord?
4. Which facts and assumptions should be disclosed, protected or verified?

Expected output

A landlord-ready term-sheet proposal supported by a transparent comparison model.

Acceptance test

The proposal compares at least three complete packages on total value and cites adjusted, relevant criteria rather than a single rent number.